Globally, agriculture produce is traded more in forwards than in terms of spot. Spot markets do not eliminate the price risk while forward markets provide a mechanism for income assurance. This was the rationale for India to legislate the Forward Contracts (Regulation) Act, 1952 (FCRA). For forward markets, India adopted a diametrically opposite regulatory model than the APMC Acts. APMCs provided for hardcoded regulations by state governments and were implemented in a totally decentralized mode. Meanwhile, FCRA provided for a centralized body, the Forward Markets Commission (FMC), to regulate forward markets.

APMCs Turned into a Stranglehold over Farmers

APMCs, which are essentially spot wholesale marketplaces for agricultural produce, were designed to serve three broad functions:

First, create a marketplace for agriculture produce where sellers (farmers) and buyers (government organizations, industries and traders) can transact with the assistance of market infrastructure and agents.

Second, regulate contracts, practices and intermediary payments to create a fair and low-cost trading regime for farmers who, on account of being disadvantaged, were vulnerable to market abuse.

Third, generate resources for the government to invest in infrastructure to facilitate packaging, transportation, storage and marketing of farmers' produce.

The development of APMCs in the first fifty years after Independence seemed to serve all these objectives. Thousands of market yards were created all over the country and APMC laws hardcoded contracts, commissions and other market practices to make these systemic and known to farmers. The fees levied (popularly known as mandi fees) under the APMC laws generated substantial resources, which were administered by marketing boards to create market infrastructure. Indian farmers kept increasing marketable surplus, which was transacted in APMCs across the